

The complaint

Mr K complains that MONZO BANK LIMITED ('Monzo') won't reimburse money, which he believes he has lost to a scam.

What happened

The background to this complaint is well known to all parties and has been laid out in detail by our Investigator in their view, so I won't repeat it all again here. But in summary, I understand it to be as follows.

Mr K and his wife were looking to have some work carried out to the front and rear of their property. Mr K found a tradesperson I'll refer to as "P". P quoted Mr K for the works and following this, work was carried out to the front of Mr K's property (resurfacing works) by P which he was satisfied with. He paid for these works in cash.

P then started work at the rear of the property – which was landscaping work. However, Mr K has said it was when the works to the rear of the property started that issues arose. Mr K says P didn't carry out any preparation works, that his neighbour had expressed concerns about their fence and that the quality of the works was unsafe and incomplete.

On 25 July 2025, Mr K raised his unhappiness about the works with P, but Mr K says he became aggressive and threatened to take up the work that had been done, should payment not be sent. Mr K proceeded to make a payment of £4,400 to P.

Mr K, believing he had fallen victim to a scam, raised the matter with Monzo in October 2025. Monzo investigated but didn't reimburse Mr K as it said this was a civil matter.

Unhappy with Monzo's response, Mr K brought his complaint to this service. One of our Investigators looked into things. But he agreed with Monzo, that this was most likely a civil dispute, and so Mr K was not entitled to a refund of the payment he had made.

Mr K didn't agree with our Investigator's view, in summary (but not limited to);

- Mr K believes that this has been wrongly classified as a civil dispute – he doesn't agree that the matter can fairly be deemed a dispute limited to the quality of the workmanship. Mr K raised that the issues go beyond poor workmanship and into misrepresentation of the nature and standard of the service being offered.
- He said P became aggressive and threatening when he raised his concerns and that the payment was made to avoid the threatened loss and damage. Mr K feels this undermines the suggestion that the payment was made freely or in good faith. Mr K says it is more likely than not that the payment was not authorised under conditions of genuine and informed consent.
- Mr K doesn't think that prior work P carried out negates the possibility that the subsequent payment was obtained through misrepresentation or pressure.

As agreement couldn't be reached, the complaint has been passed to me for a final decision.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

Having thought very carefully about Monzo's actions, I agree with the findings set out by our Investigator. I do appreciate how disappointing this will be for Mr K but, whilst I'm sorry to hear of what's happened, I don't think I can fairly hold Monzo liable for his loss.

In his submissions and in his response to our Investigator's view, Mr K has provided some detailed submissions. I won't be responding in kind, and I intend to keep my final decision relatively brief here. I'm very aware that I've summarised this complaint briefly, in less detail than has been provided, and in my own words. No discourtesy is intended by this. Instead, I've focussed on what I think is the heart of the matter here. If there's something I've not mentioned, it isn't because I've ignored it. I haven't. Instead, it's because the evidence and outcome have already been explained to Mr K by our Investigator. And having considered what our Investigator has said, whilst thinking about the available information and evidence myself, I see no reason to reach a different outcome. I'll explain why.

Mr K says he made the payment in dispute under duress, due to pressure from P, including threats of loss or damage after he raised concerns. Mr K believes the circumstances in which the payment was demanded means it was obtained through misrepresentation or pressure and the payment was not authorised under conditions of genuine and informed consent.

The relevant rules and regulations

In broad terms, the starting position at law is that a bank is expected to process payments and withdrawals that a customer authorises it to make, in accordance with the terms and conditions of the customer's account. This is set out within the 'Payment Service Regulations 2017' ('PSRs') and these are the relevant regulations in place here.

Under 'Section 67' of the PSRs it states:

"67.— (1) A payment transaction is to be regarded as having been authorised by the payer for the purposes of this Part only if the payer has given its consent to—

(a) the execution of the payment transaction; or

(b) the execution of a series of payment transactions of which that payment transaction forms part.

(2) Such consent—

(a) may be given before or, if agreed between the payer and its payment service provider, after the execution of the payment transaction;

(b) must be given in the form, and in accordance with the procedure, agreed between the payer and its payment service provider; and

(c) may be given via the payee or a payment initiation service provider.”

The question I have to ask myself here is whether the disputed transaction was authorised as set out by the PSR. So, whether Mr K consented to the execution of the payment transaction. Consent, in this context, is explained within the PSRs as being given in the form and in accordance with procedure agreed between the payer (Mr K) and the payment service provider (Monzo). Consent is typically given by a customer, for example, utilising their mobile banking app, providing the relevant card details over the phone or entering them online, or by other means such as contactless or entering a PIN on a terminal or ATM. A customer, using and accessing their mobile banking app or using their card or its details in this way is, for the purposes of the PSRs, a customer authorising a payment transaction. They have consented to the execution of the payment transaction.

It is important to point out that consenting to the execution of a payment transaction is an objective test and it doesn't depend on what Mr K knew at the time he completed the procedure for giving consent.

As a result, I'm satisfied the payment in dispute was authorised and the starting position is that Mr K's liable for it. In line with the PSRs, firms are expected to process payment instructions without undue delay. And that remains the case even though Mr K's said he felt pressured and under duress into making the payment to P.

However, Mr K says he made the payment as part of an Authorised Push Payment ('APP') scam. From 7 October 2024, Payment Services Providers in the UK are bound by the Faster Payments Scheme ('FPS') reimbursement rules ('Reimbursement Rules'). Under these rules, most victims of APP scams should be reimbursed.

To decide whether Monzo should refund Mr K's payment, I've therefore considered whether this issue meets the reimbursement rules' definition of an APP scam:

“Where a person uses a fraudulent or dishonest act or course of conduct to manipulate, deceive or persuade a consumer into transferring funds from the consumer's relevant account to a relevant account not controlled by the consumer, where:

- *The recipient is not who the consumer intended to pay; or*
- *The payment is not for the purpose the consumer intended”*

Monzo has argued this matter is a private civil dispute rather than a scam. Such disputes – defined as “*A dispute between a consumer and payee which is a private matter between them for resolution in the civil courts, rather than involving criminal fraud or dishonesty*” – aren't covered by the reimbursement rules.

So, in order to consider what has happened here as an APP scam, I would need to be satisfied that it involves criminal deception. The evidence for this would therefore need to be convincing.

The allegation of fraud is a serious one and the threshold for establishing fraud is a high one. In criminal proceedings, the standard of proof is “beyond reasonable doubt”, but this service assesses cases using the civil standard of proof, which is based on the balance of probabilities. Under this standard, a finding of fraud must be more likely than not. Even so, the bar remains high. It is not enough for fraud to be a compelling or persuasive explanation,

nor is it sufficient for it to be the most likely among several possible explanations. It must be more probable than the opposite conclusion — i.e., that fraud did not occur.

I can certainly see why Mr K is aggrieved by the actions of P, and I understand why he thinks P scammed him due to being unhappy about the work carried out to the rear of his property and this not being completed. But having carefully weighed up all the available evidence, I'm not persuaded P more likely than not set out with the intent to defraud Mr K from the outset.

As I've set out above, I acknowledge Mr K says the payment wasn't made freely or in good faith and refers to a message he sent to P - objecting to the payment after it was made. But even with this in mind, it's clear the disputed payment went to the person Mr K intended to pay - P. So the first part of the APP scam definition doesn't apply here.

I've therefore gone on to consider whether, as a result of dishonesty, the payment was made for a purpose other than Mr K intended. In order to be satisfied Mr K has fallen victim to an APP scam, I need to be persuaded P set out to defraud him.

Having done so, on balance, I'm unable to conclude that there was a deception or mismatch regarding the payment purpose. It seems at least as likely that both Mr K and P intended the disputed payment for works to be carried out to the rear of Mr K's property when it was made. It is clear from the evidence that P attended Mr K's property - provided a quote, completed work to the front of the property and then moved on to carry out work to the rear.

I'm mindful Mr K has said the works to the front of the property were satisfactory and that he raised no issues. He paid P in cash for those works. However, Mr K says the works to the rear of the property required a higher level of skill, which he doesn't believe P had, and he considers that P misrepresented his professional competence. While I don't doubt Mr K's dissatisfaction with the quality of the rear works or his concerns about P's skills and competence, I cannot safely conclude that this alone demonstrates an intention on P's part to defraud Mr K.

Alongside this, whilst I can't go into specific details due to data protection reasons, information I've seen regarding the beneficiary (the account to which the faster payment was made), shows P received other credits into the account that appear to be linked to other work around the relevant time – after Mr K made his payment. P's bank has also confirmed that the account Mr K paid is open and I'm not aware of any concerns around how the account was being run when Mr K made the payment. Typically, if somebody were running a fraud, you'd expect there to be concerns with how the account was being operated – but I've not seen that was the case here.

I accept that some of the issues/behaviours Mr K has highlighted might suggest P wasn't acting as I might expect a professional to do, but acting unprofessionally does not mean someone intended to operate a scam. There are also other possible reasons for such behaviours being present. I need to weigh up what I think is more likely than not to have happened here and whether P set out to defraud Mr K. Of course, I can't know for sure what was intended, particularly in the absence of any direct contact and testimony from the third party involved – P.

I don't have the power to compel evidence from P (unlike say the police or Trading Standards). Instead, I need to make my decision based on the evidence that is actually available to me and considering whether I think that evidence shows fraud is the most likely of the possible outcomes (in other words, applying the balance of probabilities).

I acknowledge there is a possibility that P may have misrepresented or been dishonest about his level of skill or competence in relation to the rear works. I also recognise that if Mr K had understood the true skills and competence and the quality of the work carried out that it is unlikely he would've proceeded with it. But these things are not a relevant consideration here. Mr K's payment needs to meet the specific definition set out for the Reimbursement Rules to apply – and it doesn't. Overall, based on what I've seen and been told, on balance, I'm persuaded the issues stem from the quality of the works, and this is something Mr K would need to pursue with P or via other avenues outside of his bank.

Ultimately, Mr K made the payment to P for the purpose of having work carried out to the rear of his property - landscaping. While P may not have completed the work to the standard expected, I'm not persuaded the evidence clearly demonstrates that P had no intention of carrying out the work agreed. Indeed, the fact that P had carried out some of the agreed work suggests that he did intend to do so. While I appreciate P did not complete the work or to the standard Mr K expected, I can't safely conclude this was always his intention.

Based on what I've seen and been told, I'm persuaded Mr K and P's purposes appear to have been broadly aligned. Mr K wanted work carried out to the rear of his property, and P appears to have intended to complete these works.

For completeness, Mr K has raised P has no genuine business address which has meant he cannot pursue P through other avenues, such as the courts. Mr K feels this shows P deliberately avoiding accountability. I've thought carefully about this point. I accept that the difficulty in reaching P via an address will no doubt have been incredibly frustrating for Mr K. But I'm afraid, I can't safely say this aspect in and of itself, shows a criminal intent by P from the outset – at the time Mr K made the payment.

Compensation

Monzo within its submissions to our service acknowledged that there were shortcomings in the service it provided. This appears to relate to when Mr K disputed the payment and when making a complaint. In recognition of this, Monzo offered £100 compensation by way of an apology. Monzo has confirmed that this offer is still available. I think Monzo's offer in recognition of the things it could've done better, is a fair and reasonable one. It follows, that Monzo should now arrange to make payment of the £100 compensation as offered to Mr K.

Summary

For the reasons explained, I don't find this situation meets the definition of an APP scam as set out in the Reimbursement Rules. As Monzo didn't need to consider this as an APP scam then it didn't need to go on to contact the recipient account provider. In addition, Monzo doesn't have any duty or obligation to intervene in payments that are legitimate or to protect its customers from the impact of a bad deal. So, I can't fairly criticise Monzo for not doing more when Mr K made the payment.

Mr K has my sympathy, in that he has had issues with the work carried out to the rear of his property. I'm in no way saying Mr K did anything wrong or that he doesn't have a legitimate grievance against P. But I can only look at Monzo's responsibilities here. In the circumstances, I don't think it was unfair for Monzo to reject Mr K's claim under the Reimbursement Rules. And I don't think there is any other reason why the bank should refund any financial loss.

My final decision

My final decision is that I uphold this complaint in part. I direct MONZO BANK LIMITED to pay Mr K the £100 compensation due to the service failings it identified.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr K to accept or reject my decision before 8 June 2026.

Staci Rowland
Ombudsman